THE EQUITY EXPRESSION OF THE FISCAL DOMINANCE THESIS

Two Hands on the Curve

On Tuesday the thirty-year Treasury yield touched 5.337 per cent, the highest since June 2007. On Wednesday the US Treasury announced it would at least double the size of its long-end buyback operations, and the yield fell to 5.187 per cent. The same week, minutes showed three Federal Reserve governors had voted to *raise* the policy rate. One arm of the state is trying to make money dearer at the front of the curve. Another is intervening to make it cheaper at the back.

The question has changed because the long end has stopped taking its instructions from the Fed.

A reframe worth holding onto

Stop reading the thirty-year as a forecast of the policy rate. Read it as a price quoted by the people who must absorb the government's issuance — a price that rises with the quantity on offer and with doubt about who will be buying in a decade.

On that reading, a hawkish Fed and a rising long bond are not a contradiction. They are the same fact seen from two ends of a maturity ladder.

Method. Every figure in this edition is external, primary-sourced where possible, and carries an as-of date; see Sources. The internal research Wiki was **unreachable** on this run — the MCP server exposing it did not load — so this edition contains **no internal Wiki material and no provider attributions**. Where the house format calls for an internal reframe, the reframe below is editorial, built from the external record, and is labelled as such rather than attributed to a named provider. The archive folder used for topic cooldown was also unreachable; see Editorial choices.

Picture a growers' cooperative that is contractually obliged to bring its entire harvest to the same market every Friday, whatever the price on the day. Buyers know the lorries are coming. They know roughly how full they are. So they wait, and they bid a little lower each week, because the co-op cannot take the fruit home. Now suppose the co-op's own agent starts quietly buying back a few crates of last season's bruised stock from the back of the stall — the crates nobody wants, at prices nobody quotes. The stall looks tidier. Trading in those old crates gets easier. And the buyers who matter are entirely unmoved, because the tonnage arriving next Friday has not changed by a single kilogram. That is the distinction between improving the plumbing of a market and reducing what that market has to swallow.

THE STORY IN 60 SECONDS

5.337%
Intraday high on the thirty-year US Treasury, the highest level since June 2007. It closed the following session at 5.187 per cent after the buyback announcement.
CNBC, 18–19 August 2026

$72.1bn
One-month fall in foreign holdings of US Treasuries, to $9.299tn in June from $9.371tn in May. Net Treasury inflows fell to $6.8bn from $56.6bn.
US Treasury TIC data for June, released 17 August 2026

$4bn
New minimum size per long-end buyback operation, at least double the previous $2bn maximum, effective 9 September 2026.
US Treasury press release, 19 August 2026

WHAT ACTUALLY HAPPENED

A bad auction, a worse week, and an intervention

The sequence matters more than any single level. On 13 August the Treasury sold $25bn of thirty-year bonds at a high yield of 5.216 per cent — the highest awarded yield at a thirty-year auction since 2001. The auction did not merely clear at a high price; it cleared badly. The bid-to-cover ratio was 2.39 and primary dealers were left holding 11.5 per cent of the issue, both weaker than their twelve-month averages, and the awarded yield came above the prevailing when-issued level. A dealer takedown above average is the bond market's version of an unsold lot: someone was contractually obliged to buy, and did.

Yields kept climbing. By 17 August the thirty-year had passed 5.31 per cent; on 18 August it reached 5.337 per cent, a nineteen-year high. The move was not confined to the United States. The thirty-year gilt reached 5.747 per cent on 19 August, its highest since 1998, on concerns about the UK's own fiscal arithmetic. The pressure was global, simultaneous, and concentrated at the long end — the signature of a supply and term-premium problem rather than a policy-rate problem.

Then, on 19 August, the Treasury acted. Its statement is worth reading precisely: it is "increasing, by at least double, the size of liquidity support buyback operations for longer-dated nominal coupon securities", raising the maximum from $2bn to at least $4bn per operation in the 10-to-20-year and 20-to-30-year sectors, effective 9 September and running to 4 November. The stated rationale is liquidity support where there is "consistent strong sponsorship from market participants". Nowhere does the release mention yields. The market read it as a yield operation anyway, and the thirty-year fell roughly ten basis points on the session.

The same afternoon brought the minutes of the 28–29 July meeting, at which the Fed held its policy rate at 3.50–3.75 per cent for a fifth consecutive time on a 9–3 vote. Three regional presidents — Hammack, Kashkari and Logan — voted for an immediate quarter-point increase, and the minutes showed the hawkish argument extended beyond the dissenters. July headline inflation was 3.4 per cent, with core at 2.5 per cent. Markets now put the odds of a September hold at around 65 per cent, up from close to even.

THE ESSENTIAL DISTINCTION

A buyback is not quantitative easing, and it is not yield curve control. The Treasury is repurchasing its own outstanding debt using cash it must first raise by *issuing other debt*. Net supply to the public is unchanged; only its distribution across maturities and its liquidity profile change. Quantitative easing works because a central bank pays for bonds with newly created reserves. Debt management merely rearranges the furniture.

MECHANISM

How a dollar of deficit becomes a higher long-bond yield

1 · Authorisation

Congress commits a dollar of spending that tax receipts do not cover. In July 2026 the monthly deficit was the largest since March 2021. The CBO now projects a $2.1tn shortfall for the year, $200bn more than in February.

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2 · Funding choice

Treasury must borrow the dollar and choose a maturity. Funding short keeps the coupon low but rolls the risk forward. Funding long locks the cost but adds to the one part of the curve where demand is thinnest.

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3 · Pricing

Buyers price the expected path of the policy rate *plus* a term premium for bearing thirty years of uncertainty. The premium widens with the quantity on offer and with doubt about the future reaction function.

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4 · Compounding

The coupon becomes a mandatory outlay in every subsequent budget. Net interest reaches $1.0tn in 2026, up 7 per cent, and is projected to double to $2.1tn by 2036 — which returns the process to step one.

Sources: Congressional Budget Office, *The Budget and Economic Outlook: 2026 to 2036*; Committee for a Responsible Federal Budget, August 2026; US Treasury. Step 3 describes the standard decomposition of a nominal yield into expected policy rate and term premium; it is a framework, not a measurement.

$1.0tn

Projected US net interest cost in fiscal 2026, up 7 per cent year on year — already more than national defence or Medicare, and second only to Social Security. Projected to reach $2.1tn by 2036.
CBO, 2026

$633.4bn

China's Treasury holdings in June, down 4 per cent in the month and the lowest since September 2008. Japan's fell 2.3 per cent to $1.116tn, and remains roughly $209bn below its November 2021 peak.
TIC data, 17 August 2026

¥31.3tn

Japan's fiscal 2026 debt-servicing allocation within a ¥122.3tn general-account budget — up 10.8 per cent, on an assumed interest rate of 3.0 per cent, the highest such assumption in 29 years.
Japanese budget documents, fiscal 2026

The three figures the argument turns on: the cost of the debt, the retreat of its traditional foreign buyers, and the same arithmetic appearing in a second large sovereign borrower.

THE CENTRAL COMPARISON

What the Fed sets, and what the market charges

Bar lengths are illustrative and scaled to the highest value shown; they are not drawn to a zero baseline and should not be read as proportional. Yields as dated. Sources: Federal Reserve; US Treasury auction results, 13 August 2026; CNBC, 18–19 August 2026; Trading Economics, 19 August 2026.

The gap is the whole story. The Federal Reserve, which controls the overnight rate absolutely, is holding at 3.63 per cent and arguing internally about whether to go higher. The market, which controls the thirty-year absolutely, is charging more than a percentage point and a half above that — and charging its most in nineteen years at the moment three Fed officials were voting to tighten. If the long end were simply discounting the policy path, hawkish news would lift it and dovish news would depress it. Instead the long end rose through a hawkish Fed and fell on a Treasury press release about operational liquidity. It is being priced by supply and by sponsorship, not by guidance.

A USEFUL MENTAL MODEL

Think of a sovereign borrower as a household that must remortgage a fixed slice of its house every month, for ever. The central bank sets the rate on this month's payment. The bond market sets the rate on the next three hundred and fifty-nine. Only one of those two numbers compounds into the family's budget for a generation — and it is not the one anybody watches on the day.

WHAT HAS ACTUALLY SHIFTED

Six changes, each cutting both ways

WHAT HAS CHANGED	WHAT IT LOOKS LIKE IN THE DATA	WHY IT CUTS BOTH WAYS
The long end has decoupled from Fed guidance	Thirty-year yield rose to a nineteen-year high in the same week the minutes revealed three votes to hike, then fell on a Treasury operational notice rather than on Fed news.	It may mean policy credibility no longer anchors duration — or simply that a crowded short base got squeezed by an unexpected buyer, which says nothing structural at all.
Traditional foreign buyers are stepping back	Foreign holdings fell $72.1bn in June to $9.299tn. China at $633.4bn is at a seventeen-year low. Net Treasury inflows fell 88 per cent month on month, to $6.8bn.	One month is one month, and TIC data are noisy and custodially distorted. But the direction has held for years: Japan is roughly $209bn below its 2021 peak.
Debt management has become a market-facing instrument	Buyback capacity in the 10-to-30-year sectors at least doubled to $4bn per operation, announced 19 August, three weeks after the quarterly refunding.	Read benignly it improves liquidity in off-the-run bonds at negligible cost. Read sceptically it establishes that the issuer will lean against its own curve — which is a reason to demand more term premium, not less.
The problem is plural, not American	Thirty-year gilts at 5.747 per cent, the highest since 1998. Japan's fiscal 2026 budget allocates ¥31.3tn to debt service on an assumed 3.0 per cent rate, the highest assumption in 29 years.	A synchronised global repricing is harder to dismiss as one country's politics. It also removes the obvious escape route: there is no large sovereign market offering long duration cheaply.
Equities now trade off the long bond, not the policy rate	The PHLX Semiconductor Index fell about 5.6 per cent on 18 August with all thirty components lower, as the long end made its high. On 19 August, with yields falling, the S&P 500 rose 0.31 per cent and health care and cyclicals led.	It confirms the transmission channel: the assets with the longest-dated cash flows are the ones being discounted. It also means the equity market is now hostage to an auction calendar it does not control, in both directions.
Interest is now a first-order budget line	Net interest reaches $1.0tn in fiscal 2026, up 7 per cent, exceeding both defence and Medicare. Ten-year yields sit more than 40bp above CBO's own projections.	It creates genuine pressure for consolidation, which would lower yields. It equally creates pressure for financial repression, which would lower them by a very different route.

BULL AND BEAR, STATED FAIRLY

Regime change, or an ordinary cycle

The case that this is structural

- **The buyer base has genuinely changed.** Price-insensitive official reserve managers have been net sellers for years: China sits at a seventeen-year low, Japan roughly $209bn off its peak. The replacement buyer is private, price-sensitive, and requires compensation.
- **The auction told on itself.** A 2.39 bid-to-cover, an 11.5 per cent dealer takedown and a tail versus when-issued on 13 August are not the marks of a market absorbing supply comfortably.
- **The arithmetic is self-reinforcing.** With net interest at $1.0tn and projected to double by 2036, every basis point of term premium widens the deficit that produced it. Debt held by the public is projected to rise from 101 to 120 per cent of GDP.
- **It is happening in three currencies at once.** Gilts at a 1998 high and a Japanese budget assuming 3.0 per cent rates suggest a global reassessment of sovereign duration, not a local accident.
- **The intervention is itself evidence.** An issuer that expands buybacks mid-quarter, outside the refunding cycle, reveals a concern its own press release declines to name.

The case that this is cyclical

- **Inflation is actually falling.** July headline CPI was 3.4 per cent and core 2.5 per cent, both easing year on year. A term premium built on inflation fear has a weak foundation if the prints keep cooling.
- **The Fed may be about to prove its seriousness.** Three officials voted for an immediate hike on 29 July and the minutes showed the argument ran wider. A central bank that tightens into 3.4 per cent inflation has not abandoned the price level.
- **Ten basis points in an afternoon is a positioning move.** The thirty-year fell from 5.337 to 5.187 per cent on an operation that starts on 9 September and changes no net supply — a market that was short, not one repricing fundamentals. Fiscal alarm also has a poor timing record: the long end has reached "unsustainable" levels before and then rallied hard.
- **Yields above 5 per cent invite the buyer back.** Pension funds and insurers have spent fifteen years unable to match long liabilities. At 5.3 per cent the mathematics of liability-driven investment starts working in the issuer's favour.
- **The competing explanation is corporate.** Reporting attributes part of the move to a surge in corporate borrowing funding artificial-intelligence capital expenditure. If that is the marginal supply, it is a capital-cycle story with a natural end.

Where the readings conflict. The house format asks for a place where the internal Wiki view and the external record disagree, left unresolved. That cannot be done honestly this run: the Wiki was unreachable, so there is no internal view to set against anything. What can be reported is a sharp conflict inside the external record. On the dollar, Bloomberg reported the currency at a three-month low as long yields fell on 19 August; commentary published the same week describes the dollar as technically strengthening into a new bull phase. Both cannot be the operative reading, and the distinction decides the argument: a rising long yield with a falling dollar is the signature of a sovereign risk premium, while a rising long yield with a rising dollar is the signature of a growth and inflation premium. They point to opposite conclusions about what the thirty-year is saying. This edition does not resolve it, and any account that resolves it confidently deserves suspicion.

WHAT TO WATCH FROM HERE

Six signals, and what they would settle

SIGNAL	PLAIN-ENGLISH READING	WHY IT MATTERS
Jackson Hole, 27–29 August	Chair Warsh delivers his first symposium keynote as Fed chair on 28 August. The stated theme is financial innovation and payments.	Any language on the Fed's tolerance for a high term premium, or on coordination with Treasury debt management, would be the most consequential sentence of the quarter.
The first enlarged buyback, 9 September	Whether $4bn operations attract high-quality offers, and whether the long end holds its post-announcement level until then.	If yields drift back above 5.30 per cent before the operation begins, the announcement effect was positioning and the fundamental bid is absent.

SIGNAL	PLAIN-ENGLISH READING	WHY IT MATTERS
The next thirty-year auction	Bid-to-cover against the 2.39 recorded on 13 August, and the dealer takedown against 11.5 per cent.	This is the cleanest available measurement of whether private demand is genuinely price-sensitive or merely absent at a level.
The September FOMC decision	Hold odds recently near 65 per cent, having been close to even. Three officials dissented for a hike in July.	A hike that fails to flatten the curve would be strong evidence that the long end has stopped responding to policy credibility at all.
Monthly TIC releases	Whether the $72.1bn June decline and the collapse in net inflows to $6.8bn extend, or reverse as a custodial artefact.	The structural case rests almost entirely on the foreign buyer. Two more months in the same direction would make it much harder to dismiss.
Gilts and JGBs	Whether thirty-year gilts hold above the 5.747 per cent reached on 19 August, and whether Japanese long yields keep testing records.	Synchronised moves support a global repricing of sovereign duration. Divergence would point back to country-specific politics.

THREE POSTURES, NOT ONE ANSWER

Coherent ways to hold this, and what each costs

Own the spread earners

Financial institutions with long-dated liabilities reinvest maturing assets at the new higher yields, and the benefit compounds slowly for years. **The cost:** the same rise marks down the legacy portfolio immediately. The gain arrives over a decade; the loss is reported this quarter, and a solvency scare can arrive before the earnings do.

Own the toll collectors

Exchanges, clearing houses and market makers are paid by volume and volatility, and are largely indifferent to direction. **The cost:** valuations already reflect an active rates market, and the position pays nothing if the resolution is a quiet grind rather than a crisis. It is a hedge against turbulence, not a view on the outcome.

Avoid the long-duration borrower

Businesses that fund thirty-year assets with rolling debt — regulated utilities, infrastructure, capital-heavy developers — see the cost of capital rise faster than allowed returns adjust. **The cost:** this is the most crowded expression of the view, and these are precisely the assets that rally hardest if the long end reverses.

The companies named below are illustrative of the mechanisms described in this edition. They are NOT recommendations. No view is expressed on the merit of any security at any price. Figures are the companies' own most recent reported results, dated.

MET

Adj. EPS $2.43, +15% y/y
Q2 2026, reported 13 Aug

MetLife, Inc.

The cleanest illustration of the reinvestment channel. Adjusted earnings of roughly $1.6bn, net investment income up 18 per cent and premiums up 7 per cent, alongside a $3bn buyback. Management characterised spreads as fairly stable and higher rates as providing positive momentum *over time* — the important qualifier. A life insurer's asset book turns over slowly, so a higher long end arrives as a decade-long tailwind, not a quarter-long one.

WATCH NEXT

> Whether net investment income growth persists once the easiest year-on-year comparisons have passed.

CRBG

Revenue $3,914m; net income $2m
Q2 2026

Corebridge Financial, Inc.

The counterweight to the card above, and the more instructive of the two. Revenue of $3,914m produced net income of $2m — against a net loss a year earlier, so the direction was favourable, but the level shows how completely hedging and mark-to-market movements can swamp the underlying spread in a quarter when long rates move sharply. The shares rose 7.6 per cent after the print. "Beneficiary of higher rates" and "reports volatile earnings while rates are rising" are not contradictory descriptions of the same company.

WATCH NEXT

> The gap between reported net income and management's preferred operating measure, which is where the hedge noise sits.

DHI

Backlog mortgage rate 4.9%
FQ3 2026, reported 22 Jul

D.R. Horton, Inc.

Where the long end reaches the household. Home sales gross margin was 20.7 per cent, ahead of guidance, but margin before interest and other costs fell to 24.7 per cent from 25.7 per cent. The average rate buydown was 1.6 per cent, and the average mortgage rate in backlog was 4.9 per cent — the first quarter that figure has ticked up, which management attributed to the broader move in market rates. Closings rose 4 per cent to 23,983. The builder is absorbing the curve on the buyer's behalf, and the subsidy is visible in the margin line.

WATCH NEXT

> Whether the backlog rate keeps rising while buydown costs stay near 1.6 per cent, which would mean the subsidy is no longer holding the price.

CME

Q2 ADV 29.8m contracts
Q2 2026, reported 22 Jul

CME Group Inc.

The toll collector on the repricing itself. Second-quarter average daily volume of 29.8 million contracts was the second-highest second quarter on record, and June set a monthly record at 30.6 million, up 19 per cent year on year. June interest-rate volume rose 17 per cent to 13.6 million contracts, with Treasury futures and options up 19 per cent to 7.2 million. Revenue exceeded $1.7bn, a second-quarter record, though only 1 per cent above the prior year — a reminder that record volume and record revenue growth are different things.

WATCH NEXT

> Whether rate-per-contract holds as volume mix shifts, since that is what converts activity into revenue.

8750 JP

Ordinary profit ¥251.1bn, +195.6%
Q1 FY2026, to 30 Jun

Dai-ichi Life Holdings, Inc.

The same arithmetic in a second currency. Ordinary revenues rose 25.3 per cent to ¥2.89tn and ordinary profit rose 195.6 per cent to ¥251.1bn. Set against that, Japan's four largest life insurers together reported a record figure reported at roughly $96bn of unrealised bond losses, with every one of them seeing losses widen during the April–June quarter, as rising JGB yields marked down paper accumulated during the era of ultra-low rates. Rising long rates improve the future and impair the past simultaneously.

WATCH NEXT

> Whether unrealised losses constrain capital deployment or dividend policy, which is where marks become decisions.

NEE

Adj. EPS $1.15, +9.5% y/y
Q2 2026, reported 24 Jul

NextEra Energy, Inc.

The long-duration borrower. Adjusted earnings per share of $1.15 were up 9.5 per cent and revenue was $7,534m against $6,700m, so the operating record is strong. The balance sheet is the point: long-term debt of $98.79bn at 30 June against total equity of $68.1bn, funding a very large capital programme. A company that finances thirty-year assets in a market where thirty-year money has repriced by more than a percentage point faces a genuine arithmetic problem regardless of how well it is executing.

WATCH NEXT

> Interest expense as a share of operating income, and the marginal cost of new issuance against allowed returns.

The bottom line

What was repriced this week was not the Federal Reserve's intentions. It was the compensation demanded for lending to a sovereign for thirty years. The thirty-year reached a nineteen-year high at the same moment three Fed officials were voting to tighten, and then fell on a Treasury notice about operational liquidity that changes no net supply whatsoever. That combination is difficult to reconcile with a market discounting a policy path, and reasonably consistent with a market pricing quantity and sponsorship instead. The June capital data — foreign holdings down $72.1bn, net inflows down 88 per cent — describes who is no longer doing the absorbing.

The evidence is mixed, and honestly so. Inflation is easing, not accelerating; a ten-basis-point move on an announcement with no supply content looks far more like a short squeeze than a regime change; and there is a credible competing explanation in which the marginal borrower crowding the long end is a corporation funding computing capacity rather than a government funding a deficit. The reasonable inference is narrower than the headlines: the long end is now being set by the balance between issuance and sponsorship, and both the Treasury and the Fed are operating on it from opposite directions with instruments that were not designed to be used simultaneously. The next test is specific and close. The first $4bn buyback runs on 9 September; if the thirty-year is back above 5.30 per cent before then, the announcement bought a week and nothing more.

Editorial note. This is educational commentary prepared for internal use. It is not investment advice, not a recommendation, and not a solicitation to buy or sell any security. Companies named are illustrative of mechanisms discussed and were selected to include cases that cut against the argument as well as for it. All external figures carry an as-of date and are drawn from the sources listed below; where a figure could not be verified it was omitted rather than estimated. This edition contains no internal Wiki material, because the internal research Wiki was unreachable on this run — accordingly there are no named-provider views to label, and the reframe in the opening sidebar is editorial rather than attributed. Conflicts in the external record are stated and left unresolved rather than adjudicated. Bar lengths and the flow diagram are illustrative, not measurements. Nobody reviewed this edition before delivery; it was produced by an automated run.

Sources and update notes

(a) Internal sources: none used. The Heyokha research Wiki could not be reached on this run. The MCP server that exposes it was not present in the session's tool set, and two separate attempts to locate it returned no matching tools. No Wiki page was read, no topic score was computed, and no provider issue was consulted. Consequently this edition cites **no** internal page, no *last_reviewed* date, and no provider — 13D Research, White Box, Greed & Fear, Solid Ground, Marc Faber, HS Dent, Gary Shilling or any other. Nothing in this edition should be read as representing a house view or a provider's view. Any reader wanting the internal argument on this theme should consult the Wiki directly.

(b) Limitation on the internal view. The standing limitation this section usually records is provider concentration on a given Wiki page. That check could not be performed, which is a more serious limitation than the usual one: rather than knowing that a page leans on one or two providers, this edition has no internal input at all. The practical consequence is that the argument here is assembled entirely from public reporting and primary documents, and therefore lacks whatever the firm's own research has established, contradicted or already discounted on this theme. The bear case in particular was built from external reporting and from tensions inside the companies' own reported results, since no internal counter-argument was available to draw on.

(c) External sources. (1) US Department of the Treasury, "Treasury Announces Increased Sizes of Nominal Long-End Liquidity Support Buybacks Beginning September 9", press release, 19 August 2026 — $2bn maximum raised to at least $4bn per operation in the 10-to-20-year and 20-to-30-year nominal sectors; effective 9 September 2026, in effect through 4 November 2026; rationale stated as liquidity support. (2) US Treasury 30-year auction results, 13 August 2026, via Committee for a Responsible Federal Budget, 14 August 2026 — $25bn sold at a high yield of 5.216 per cent, highest since 2001; bid-to-cover 2.39; primary dealer takedown 11.5 per cent; awarded above when-issued. (3) CNBC, 17, 18 and 19 August 2026 — 30-year yield above 5.31 per cent on 17 August, 5.337 per cent on 18 August (highest since June 2007), 5.187 per cent on 19 August. (4) US Treasury, Treasury International Capital data for June, released 17 August 2026 — foreign holdings $9.299tn versus $9.371tn in May, a $72.1bn decline; Japan $1.116tn, down 2.3 per cent; China $633.4bn, down 4 per cent and lowest since September 2008; net Treasury inflows $6.8bn versus $56.6bn in May. (5) Federal Reserve, minutes of the 28–29 July 2026 FOMC meeting, released 19 August 2026 — target range held at 3.50–3.75 per cent for a fifth consecutive meeting on a 9–3 vote, with Hammack, Kashkari and Logan dissenting in favour of an immediate 25bp increase. (6) US Bureau of Labor Statistics July 2026 CPI as reported — headline 3.4 per cent, core 2.5 per cent, both easing year on year; September hold probability subsequently around 65 per cent. (7) Congressional Budget Office, *The Budget and Economic Outlook: 2026 to 2036*, and CRFB commentary, 2026 — fiscal 2026 deficit projection $2.1tn, raised $200bn from February; net interest $1.0tn in 2026, up 7 per cent, projected $2.1tn by 2036; debt held by the public 101 per cent of GDP rising to 120 per cent by 2036; 10-year yields more than 40bp above CBO

projections. (8) Trading Economics and contemporaneous reporting, 19 August 2026 — 30-year UK gilt at 5.747 per cent, highest since 1998. (9) Japanese fiscal 2026 general-account budget as reported — ¥122.3tn total, debt-servicing ¥31.3tn, up 10.8 per cent, on an assumed 3.0 per cent interest rate, highest assumption in 29 years. (10) Company results, as reported by each company and dated on the individual cards above: MetLife Q2 2026 (13 August), Corebridge Financial Q2 2026, D.R. Horton fiscal Q3 2026 (22 July), CME Group Q2 2026 (22 July), Dai-ichi Life Holdings Q1 fiscal 2026 for the three months to 30 June, and NextEra Energy Q2 2026 (24 July). Every figure quoted on those cards is the company's own reported number; none has been adjusted, annualised or estimated here. The aggregate figure of roughly $96bn of unrealised bond losses across Japan's four largest life insurers, all widening in the April–June quarter, is from secondary reporting rather than a single filing and is presented as such. (11) Federal Reserve Bank of Kansas City — 2026 Jackson Hole Economic Policy Symposium, 27–29 August 2026, theme "Financial Innovation: Implications for Payments and Policy", with the Chair's keynote reported for 28 August. (12) Conflicting dollar readings as described in the divergence paragraph: Bloomberg, 19 August 2026, reporting the dollar at a three-month low; contemporaneous market commentary describing the dollar as technically strengthening.

(d) Editorial choices in this automated run. Three tool failures shaped this edition and are disclosed rather than worked around. First, the archive folder used for the thirty-day topic cooldown check could not be reached: the remote-devices bridge was absent from the session, so no filenames were parsed. The cooldown set therefore contains only the two editions known in advance — AI Capex (4 August 2026) and Gold Miners (5 August 2026) — and it is possible, though on the evidence available unlikely, that this theme has appeared within the last thirty days. Second, the Wiki MCP server was absent, so the prescribed hot-topic scoring over recent sources and the eligible theme universe could not be run. The topic was instead selected from the live external record on the same hot-first principle: the long end of the sovereign curve was the dominant market event of the 17–19 August window, producing a nineteen-year yield high, a failed-feeling auction, an unscheduled Treasury intervention and the release of both TIC data and FOMC minutes inside three sessions. It is not on the known cooldown list. Third, market data via yfinance and direct HTTP retrieval are blocked in this environment, so all prices and figures were obtained through web search and page fetches, with the Treasury press release and the auction result retrieved as primary documents. Several secondary figures encountered during research were discarded for lack of a datable primary source, including a specific level for the dollar index and a current level for the 30-year Japanese government bond. Bar-chart lengths are scaled to the largest value shown rather than to a zero baseline, and are labelled accordingly. Finally, this edition runs to nine pages against a seven-to-eight page target. The overflow is the full source-citation block required above plus several house-format layout blocks that cannot be divided across a page boundary; no section was padded and none was cut to fit.
